

## U.S. IT Hardware

# APPLE TRACKER (June): iPhone unit growth and share gains continue in weak smartphone market; AAPL FQ3 Preview mixed



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*The Apple Tracker breaks down the latest data on iPhone sales and services from Counterpoint and Sensor Tower, and analyzes what this means for Apple and the supply chain. For more on our Apple views see our [Apple Deep Dive](#).*

**Global smartphone shipments declined 11% YoY in Q2 2026, marking an acceleration from the 6% YoY decline recorded in Q1 as memory shortages intensified.** Despite the challenging industry backdrop, Apple significantly outperformed the broader market, expanding its global smartphone market share to 20% from 17% in CQ2'25. Apple was also the only major OEM to avoid smartphone price increases during the quarter.

**Apple's global sales momentum remained strong through June.** On a monthly basis, June sell-through revenue increased 11.2% YoY, while sell-through units rose 9.5% YoY and ASP grew 1.5% YoY. For CQ2'26, sell-through revenue and units increased 6.1% and 4.6% YoY, respectively, while sell-in units were up 9.5% YoY.

**For the full quarter FQ3'26, we find that iPhone unit sales are trending better than consensus, while ASPs trending worse due to strength in iPhone 17e.** Services revenue is trending in-line. Although revenue appears below consensus, we have higher confidence in strong unit growth than weak ASP and hence implications for FQ3'26 are inconclusive.

**For foundry/TSMC:** the shipment of the Pro variants remained strong but weaker-than-expected sales of the iPhone 17e versus 16e has made the N3P cycle weaker than the prior cycle (N3E) for several months. We still believe overall Apple can hold up better vs. its smartphone peers. Even if Apple or any mobile customers release leading-node capacity, the capacity will be refilled by AI applications and TSMC won't experience revenue loss.

**For Memory:** in June the DRAM content increased 27% YoY, similar to the rate in the past 3 months. Going forward we will monitor how memory price hike affects the memory content.

**For the rest of Apple's supply chain:** sentiment over [Luxshare](#) and [Largan](#) are strong as iPhone shipment is stronger than Android's, and each of them have made steadily progress in AI-related business. For **Sony**, however, there will likely be no upgrades in CIS this year, and we see higher risk of share loss to Samsung in 2027. For **Qualcomm**, we are approaching the point where AAPL sales will likely take a sizeable step down as AAPL diversifies away, with overall handset revenues potentially under pressure due to weaker Android performance on the back of rising memory prices, and Apple share gains (neither of which is positive, especially as Apple increasingly internalizes).

## BERNSTEIN TICKER TABLE

| Ticker                         | Rating | 24 Jul 2026 |               | Price Target | TTM Rel. Perf. | Reported EPS |          |         |          | Reported P/E (x) |       |       |
|--------------------------------|--------|-------------|---------------|--------------|----------------|--------------|----------|---------|----------|------------------|-------|-------|
|                                |        | Cur         | Closing Price |              |                | Cur          | 2025A    | 2026E   | 2027E    | 2025A            | 2026E | 2027E |
| AAPL (Apple )                  | O      | USD         | 333.02        | 350.00       | 39.2%          | USD          | 7.46     | 8.87    | 10.65    | 44.6             | 37.6  | 31.3  |
| SNDK (SanDisk)                 | O      | USD         | 1,436.56      | 3,000.00     | 3265.3%        | USD          | 2.99     | 65.43   | 243.73   | 480.5            | 22.0  | 5.9   |
| QCOM (Qualcomm )               | M      | USD         | 166.97        | 235.00       | (11.1)%        | USD          | 12.03    | 10.64   | 10.16    | 13.9             | 15.7  | 16.4  |
| AVGO (Broadcom)                | O      | USD         | 381.92        | 550.00       | 15.1%          | USD          | 6.82     | 11.60   | 18.69    | 56.0             | 32.9  | 20.4  |
| 2330.TT (TSMC)                 | O      | TWD         | 2,350.00      | 2,780.00     | 78.1%          | TWD          | 66.25    | 101.62  | 124.63   | 11.2             | 8.3   | 6.4   |
| TSM (TSMC)                     | O      | USD         | 403.41        | 430.00       | 47.8%          | USD          | 10.48    | 16.07   | 19.70    | 12.2             | 9.0   | 6.9   |
| 000660.KS (SK hynix)           | O      | KRW         | 1,781,000     | 3,300,000    | 554.8%         | KRW          | 60,341   | 395,677 | 568,862  | 29.5             | 4.5   | 3.1   |
| 005930.KS (SEC- Samsung)       | O      | KRW         | 252,500       | 440,000      | 258.3%         | KRW          | 6,611.53 | 48,393  | 77,273   | 38.2             | 5.2   | 3.3   |
| 005935.KS (SEC-Pref - Samsung) | O      | KRW         | 177,100       | 374,000      | 203.3%         | KRW          | 6,611.53 | 48,393  | 77,273   | 26.8             | 3.7   | 2.3   |
| SMSN.LI (Samsung)              | O      | USD         | 4,296.00      | 7,350.00     | 239.8%         | USD          | 116.15   | 812.39  | 1,290.80 | 37.0             | 5.3   | 3.3   |
| MU (Micron)                    | O      | USD         | 920.95        | 1,300.00     | 711.3%         | USD          | 8.29     | 67.39   | 158.99   | 111.1            | 13.7  | 5.8   |
| 2454.TT (MediaTek)             | O      | TWD         | 3,680.00      | 4,380.00     | 130.2%         | TWD          | 66.17    | 69.52   | 170.50   | 55.6             | 52.9  | 21.6  |
| SONY (Sony )                   | M      | USD         | 20.98         | 22.00        | (30.0)%        | USD          | 1.08     | 1.25    | 1.30     | 19.4             | 16.7  | 16.1  |
| 6758.JP (Sony)                 | M      | JPY         | 3,574.00      | 3,500.00     | (37.6)%        | JPY          | 171.30   | 198.75  | 207.66   | 20.9             | 18.0  | 17.2  |
| 3008.TT (Largan)               | O      | TWD         | 4,090.00      | 5,150.00     | 46.1%          | TWD          | 158.08   | 187.55  | 208.38   | 25.9             | 21.8  | 19.6  |
| 002475.CH ( Luxshare )         | O      | CNY         | 62.89         | 86.00        | 36.9%          | CNY          | 2.26     | 2.66    | 3.45     | 27.8             | 23.6  | 18.2  |
| 2382.HK (Sunny Optical)        | O      | HKD         | 58.75         | 94.00        | (50.5)%        | CNY          | 4.25     | 3.44    | 4.52     | 11.9             | 14.7  | 11.2  |
| SPX                            |        |             | 7,411.98      |              |                |              |          |         |          |                  |       |       |
| ASIA                           |        |             | 1,880.30      |              |                |              |          |         |          |                  |       |       |
| EM                             |        |             | 1,745.51      |              |                |              |          |         |          |                  |       |       |
| JPL                            |        |             | 2,608.59      |              |                |              |          |         |          |                  |       |       |

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

AAPL, SNDK, QCOM, AVGO, MU estimate is Adjusted EPS; AAPL, SNDK, QCOM, AVGO, MU valuation is Adjusted P/E (x); 2330.TT, TSM valuation is P/B (x);

Source: Bloomberg, Bernstein estimates and analysis.

## INVESTMENT IMPLICATIONS

**Apple:** As the gateway to the Intelligence revolution benefiting from stronger than expected iPhone 17 demand, we rate AAPL Outperform with a price target of \$350.

**SanDisk:** We rate SNDK Outperform with a price target of \$3,000.

**Samsung Electronics:** We rate Samsung Electronics Outperform with price target of KRW440,000.

**SK hynix :** We rate SK hynix Outperform with price target of KRW3,300,000.

**Micron:** We rate Micron Outperform with price target of US\$1,300.00.

**TSMC:** We rate TSMC Outperform with price target of NT\$2,780.00.

**MediaTek:** We rate MediaTek Outperform with price target of NT\$4,380.00.

**Sunny Optical:** We rate Sunny Optical Outperform, with PT = HK\$94.00.

**Luxshare:** We rate Luxshare Outperform, with PT = RMB86.00.

**Largan:** We rate Largan Market-Perform, with PT = HK\$5,150.00.

**Sony:** We rate Sony (6748.JP) Market-Perform, PT = JPY 3,500.00.

**QCOM (MP, \$235):** Memory headwinds appear likely to pressure smartphone builds and numbers still appear high though the datacenter narrative sounds promising.

**AVGO (OP, \$550):** A strong 2025 AI trajectory seems set to accelerate into 2026 and beyond, bolstered by software, cash deployment, and superb margins & FCF.

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## DETAILS

### 1. IPHONE SALES PERFORMANCE

**Global smartphone shipments declined 11% YoY in Q2 2026, marking an acceleration from the 6% YoY decline recorded in Q1 as memory shortages intensified.** Despite the challenging industry backdrop, Apple significantly outperformed the broader market, expanding its global smartphone market share to 20% from 17% in CQ2'25. Apple was also the only major OEM to avoid smartphone price increases during the quarter.

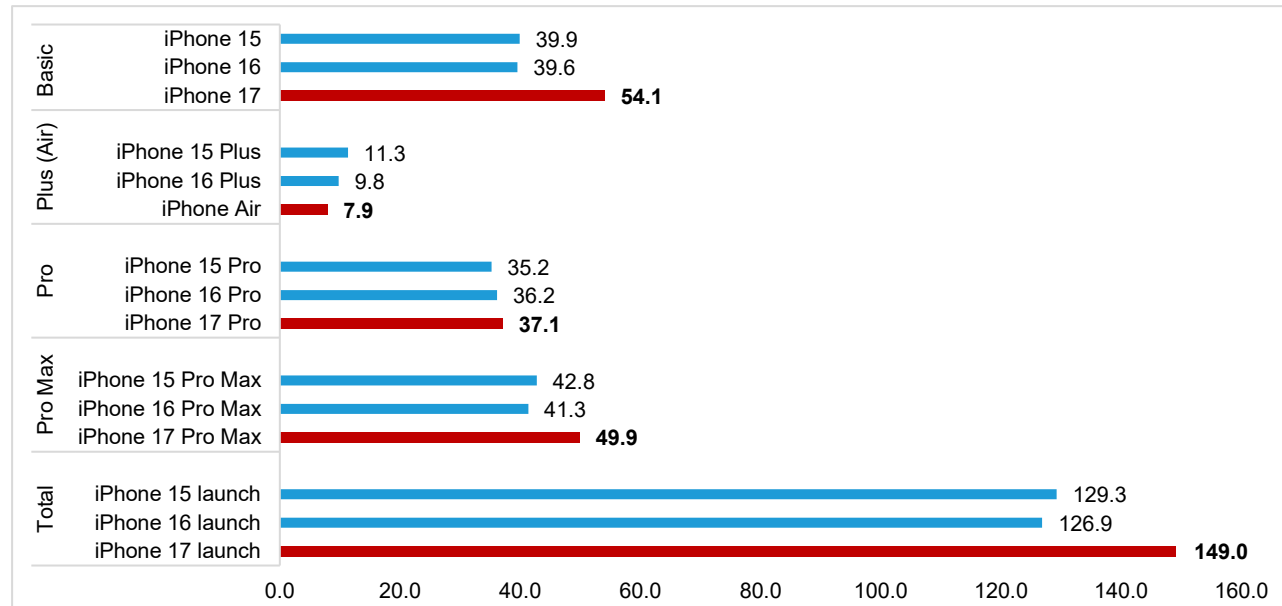
**Samsung** regained the top spot globally with a 24% market share in Q2 2026 and delivered the strongest growth among the top five smartphone vendors. **Huawei** recorded 6% YoY shipment growth in CQ2, supported by strong demand for the Mate 80 series, Nova 15, and the newly launched Enjoy 90 series. Meanwhile, **Xiaomi, OPPO, and vivo** each posted double-digit YoY shipment declines during the quarter.

- **Apple's global sales momentum remained strong through June.** On a monthly basis, June sell-through revenue increased 11.2% YoY, while sell-through units rose 9.5% YoY and ASP grew 1.5% YoY. For CQ2'26, sell-through revenue and units increased 6.1% and 4.6% YoY, respectively, while sell-in units were up 9.5% YoY.
- **Regionally, the U.S. continued to deliver solid mix-driven growth, while China softened on a year-over-year basis in CQ2'26.** June U.S. sell-through revenue increased 8.7% YoY, driven almost entirely by ASP expansion of 8.4% YoY. June China sell-through revenue down 3.2% YoY, driven by ASP decline of 3.9% YoY. For CQ2'26, U.S. sell-through revenue grew 3.8% YoY despite a 2.0% decline in units. China CQ2'26 sell-through revenue declined 7.2% YoY, largely reflecting a 6.9% YoY decrease in unit. Meanwhile, Europe, Japan, and the rest of APAC posted healthy growth across both revenue and units.
- **The e-series continued to gain traction.** iPhone 17e sales reached 1.7 million units in June, bringing total e-series sales to 1.9 million units for the month. Combined e-series unit sales totaled 5.8 million units in CQ2'26, up 16% from 5.0 million units in CQ2'25. The 17e's meaningful hardware upgrades versus the 16e at unchanged pricing continues to support a compelling value proposition, particularly as entry-level smartphone prices trend higher.
- **ASP remained modestly positive year over year.** iPhone ASP increased 1.4% YoY in CQ2'26, led by the U.S., where ASP rose 5.9% YoY. In contrast, China ASP was largely stable, declining just 0.3% YoY during the quarter.

#### EXHIBIT 1: iPhone market share

| Sales (M,Units)     | Apr-25       | May-25       | Jun-25       | Jul-25       | Aug-25       | Sep-25       | Oct-25       | Nov-25       | Dec-25       | Jan-26       | Feb-26       | Mar-26       | Apr-26       | May-26       | Jun-26       |
|---------------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|
| Apple Sales         | 16.95        | 17.25        | 16.47        | 15.39        | 14.46        | 22.14        | 28.81        | 24.00        | 26.37        | 22.64        | 20.22        | 20.45        | 17.38        | 17.61        | 18.04        |
| Global Sales        | 96.90        | 99.44        | 100.28       | 97.91        | 97.90        | 107.73       | 118.53       | 101.55       | 105.25       | 96.75        | 95.07        | 95.62        | 87.36        | 87.27        | 89.34        |
| <b>Market Share</b> | <b>17.5%</b> | <b>17.3%</b> | <b>16.4%</b> | <b>15.7%</b> | <b>14.8%</b> | <b>20.6%</b> | <b>24.3%</b> | <b>23.6%</b> | <b>25.1%</b> | <b>23.4%</b> | <b>21.3%</b> | <b>21.4%</b> | <b>19.9%</b> | <b>20.2%</b> | <b>20.2%</b> |

Source: Counterpoint, Bernstein analysis

EXHIBIT 2: **Sell-thru Units (mn) in the first 10 months of launch - iPhone 17 vs. Past Cycles**

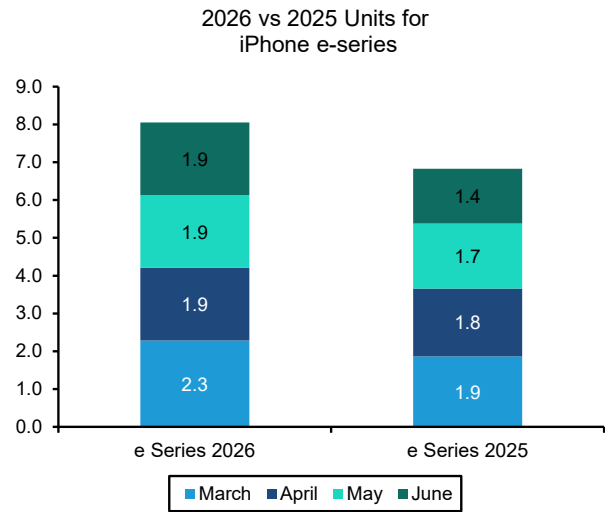
Source: Counterpoint, Bernstein Analysis

EXHIBIT 3: Global iPhone revenue, units, ASP



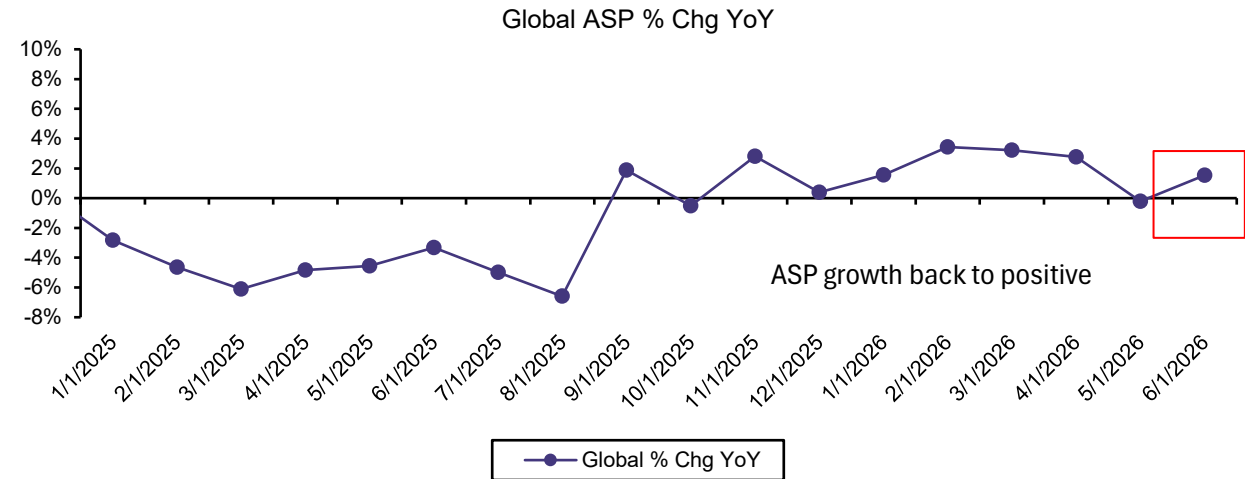
Source: Counterpoint, Bernstein Analysis

EXHIBIT 4: **The iPhone e-series (iPhone 17e+iPhone 16e)**  
**has higher total units in 2026 than in 2025**

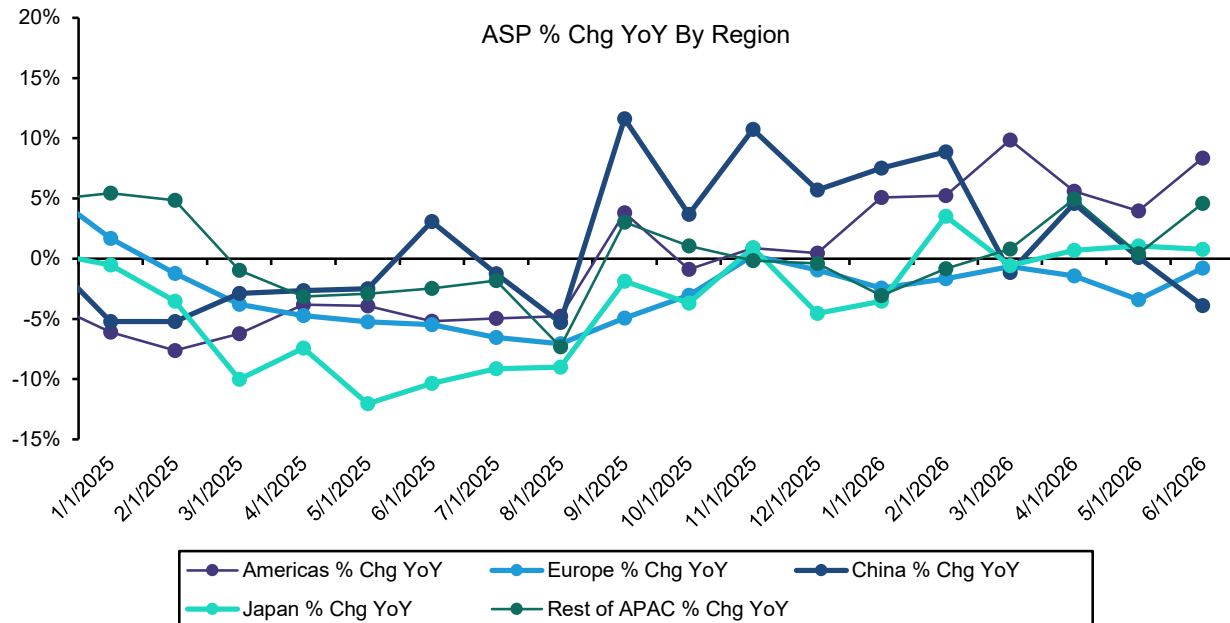


Source: Counterpoint, Bernstein analysis

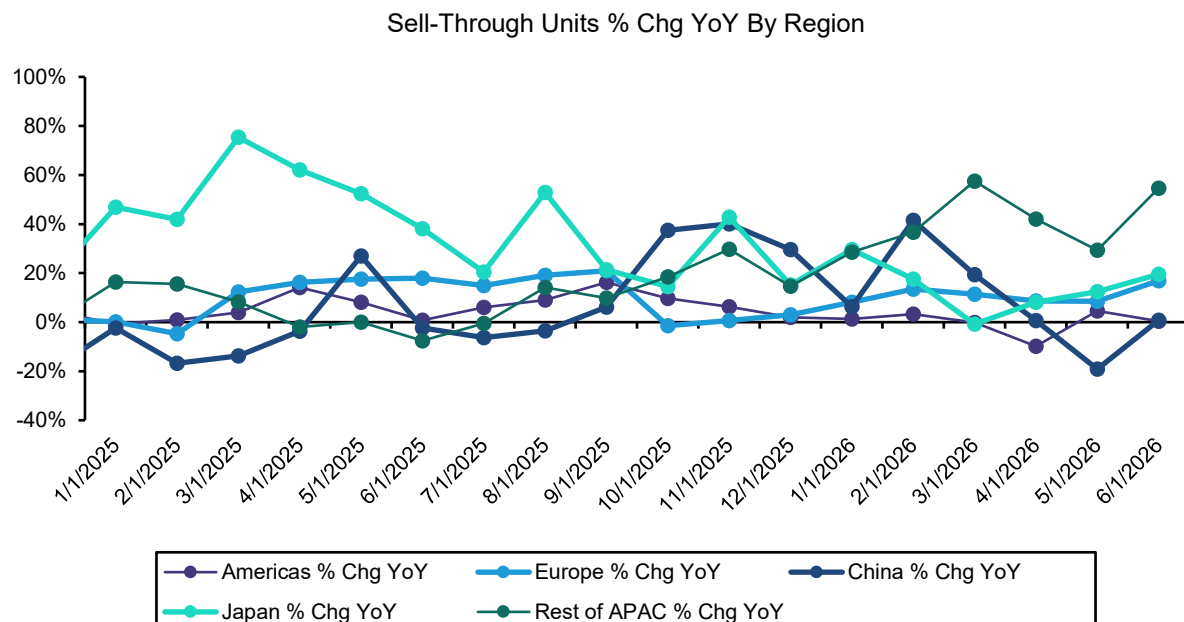
EXHIBIT 5: **Global ASP % Change YoY**



Source: Counterpoint, Bernstein analysis

EXHIBIT 6: **ASP % Change YoY By Region**


Source: Counterpoint, Bernstein analysis

EXHIBIT 7: **Sell-thru units % chg by region**


Source: Counterpoint, Bernstein analysis

## 2. CHANNEL INVENTORY SLIGHTLY ELEVATED

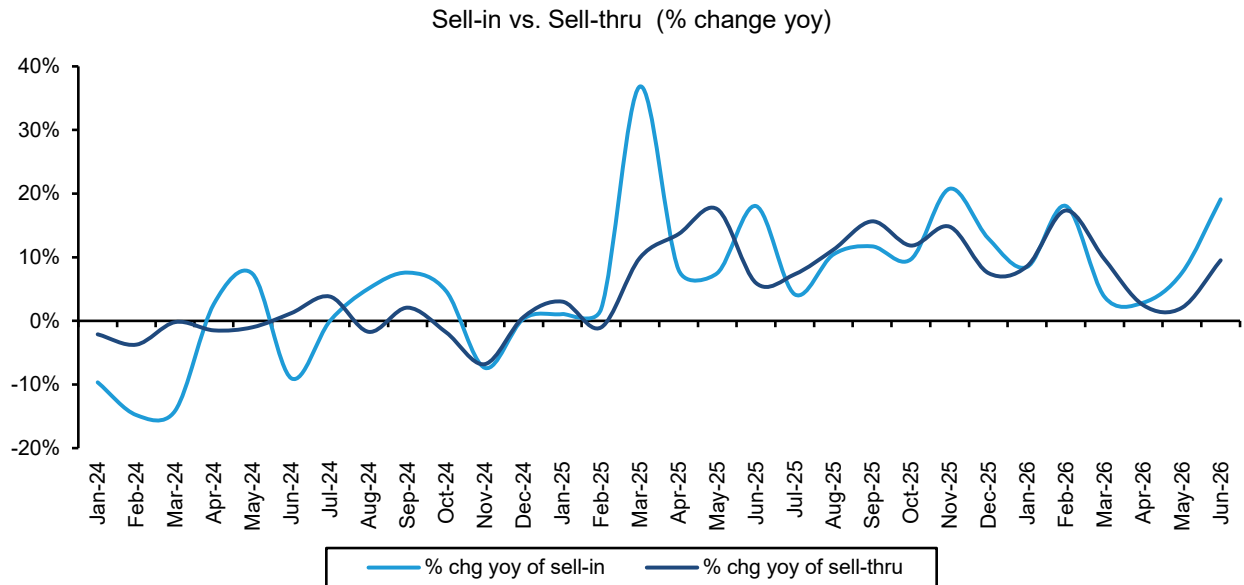
Global iPhone sell-in and sell-through units are up significantly YoY, thanks to the 17 family. Inventory units slightly increased again for the fourth month, due to stronger sell-in than sell-through. However, inventory weeks is roughly flat at 10.3 weeks in June, because the growth in inventory units was offset by the increase in unit sales. Compared to historical seasonality, current inventory weeks remain slightly elevated.



**iPhone units rose significantly YoY.** In June, Global iPhone sell-in units rose 1% while sell-through increased by 2% MoM ([Exhibit 8](#)). Thanks to the strength of the 17 family, YoY growth was significant, with sell-in increasing by 19% and sell-through up by 10%.

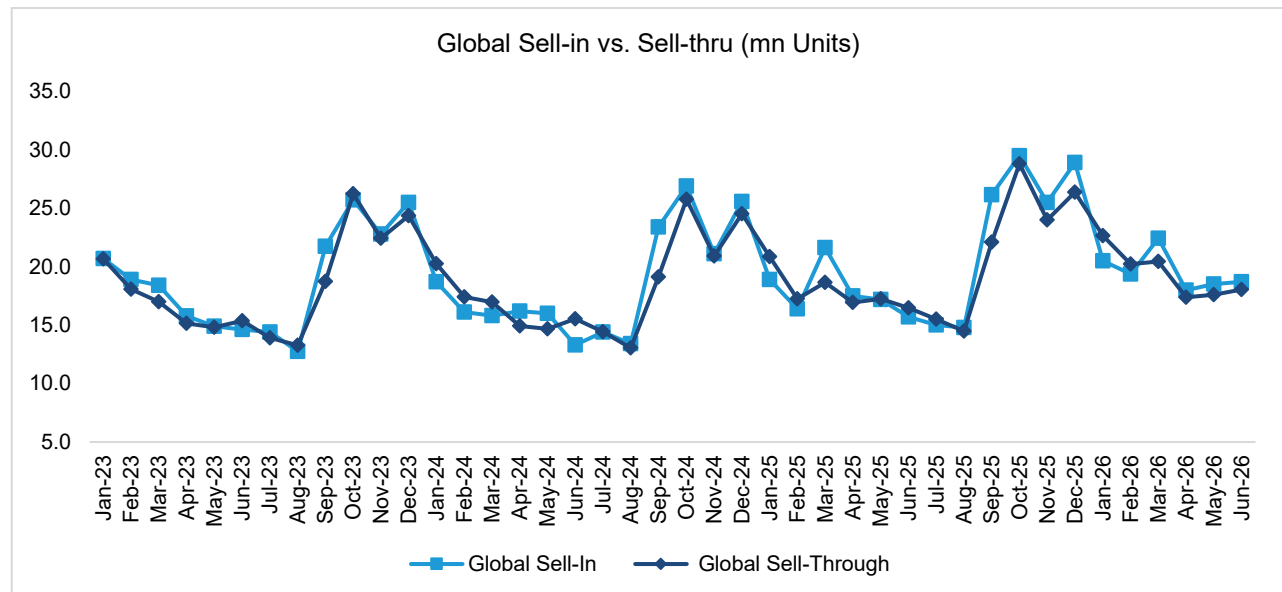
**Channel inventory rose for the fourth consecutive month.** In June, sell-in at 18.7mn was higher than the sell-through units at 18 mn, resulting in channel inventory units rising slightly by 2% MoM to 42.9mn ([Exhibit 9-Exhibit 10](#)). It is worth noting that this is now the fourth month of Apple building inventory units. Inventory weeks is virtually unchanged at 10.3 in June vs 10.4 in May, with the inventory increase being offset by stronger unit sales ([Exhibit 11](#)). Inventory weeks remain slightly more elevated compared to historical seasonality.

EXHIBIT 8: **Global Sell-in vs Sell-thru (mn Units)**

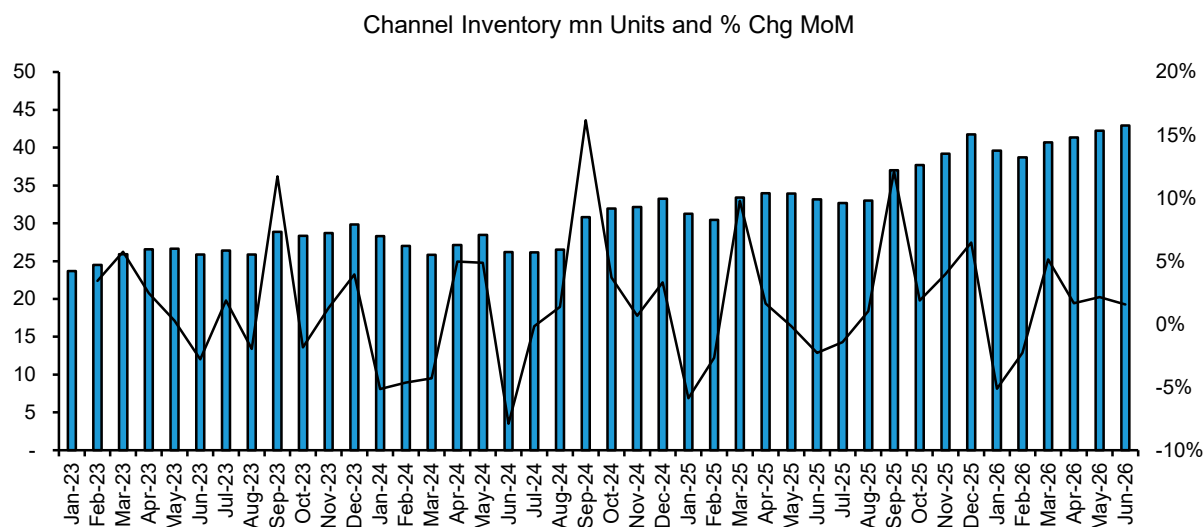


Source: Counterpoint, Bernstein analysis

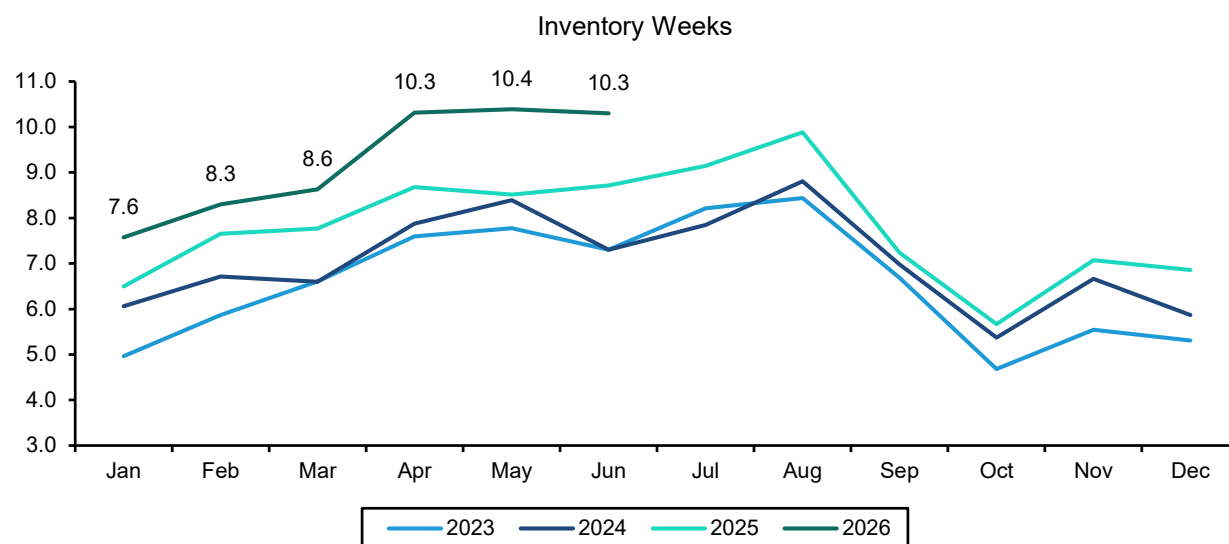
EXHIBIT 9: **Global Sell-in vs. Sell-thru (mn Units)**



Source: Counterpoint, Bernstein analysis

EXHIBIT 10: **Channel Inventory mn Units**

Source: Counterpoint, Bernstein analysis

EXHIBIT 11: **Inventory Weeks**

Source: Counterpoint, Bernstein analysis

**3. IMPLICATIONS FOR AAPL FQ3'26 - STRONG UNITS, WEAKER ASP**

Analyzing our data for the full quarter FQ3'26, we find that iPhone unit sales are trending better than consensus, while ASPs trending worse due to strength in iPhone 17e. Services revenue is trending in-line. Although revenue appears below consensus, we have higher confidence in strong unit growth than weak ASP and hence implications for FQ3'26 are inconclusive.

**iPhone: iPhones 17e drags on overall ASP, but units are better than consensus - netting to a slight downside for FQ3'26 iPhone revenue.** The iPhone ASP came in lower than Bernstein estimates as well as consensus, likely due to the strong sales of the iPhone e series (iPhone 17e and iPhone 16e) ([Exhibit 4](#)). On the other hand, sell-in units came in at 55.2mn, beating

consensus at 53.3mn and roughly the same as our estimates, which implies better unit performance than street expectations. Given lower-than-expected ASP and slightly better units, our data suggests iPhone revenue carries slight downside risk versus consensus for FQ3'26 ([Exhibit 12](#)), with results due July 30th after the close.

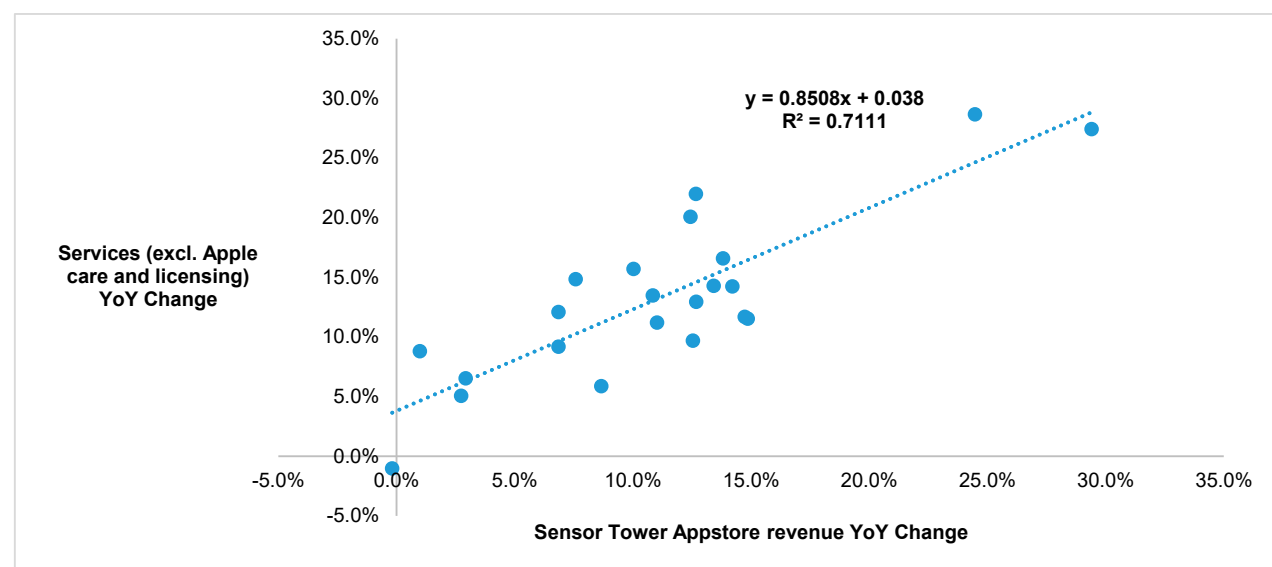
**Services: Services revenue appears on track to come in broadly in line with our estimates and with consensus.** We ran a regression comparing the YoY change in Apple's Services revenue (excluding AppleCare and licensing, which are less tied to App Store-based activities) against the YoY change in Sensor Tower's global App Store quarterly revenue ([Exhibit 13](#)). Based on Sensor Tower's 3% YoY quarterly revenue growth in FQ3'26, the regression implies FQ3 Services revenue YoY growth of 6.5%, arriving at roughly \$30.34bn, essentially in line with both Bernstein and Bloomberg consensus.

EXHIBIT 12: **Apple iPhone + Services revenue predicted value vs. Bernstein estimates vs. Bloomberg consensus**

|                                        | Data sources  | Bernstein     | Consensus     | Upside/Downside |
|----------------------------------------|---------------|---------------|---------------|-----------------|
| <b>iPhone Revenue</b>                  | <b>48,850</b> | <b>54,557</b> | <b>53,597</b> | <b>DOWNSIDE</b> |
| <i>iPhone Units - Sell In (mlns)</i>   | 55.2          | 56.1          | 53.3          | <b>UPSIDE</b>   |
| <i>iPhone Units - Sell Thru (mlns)</i> | 53.0          |               |               |                 |
| <i>iPhone ASP (\$/unit)</i>            | 885           | 973           | 1,005         | <b>DOWNSIDE</b> |
| <b>Service Revenue</b>                 | <b>30,340</b> | <b>31,382</b> | <b>31,359</b> | <b>IN-LINE</b>  |
| <b>Combined Revenue</b>                | <b>79,191</b> | <b>85,939</b> | <b>84,956</b> | <b>DOWNSIDE</b> |

Source: Counterpoint, Sensor Tower, Bernstein analysis and estimates, Bloomberg

EXHIBIT 13: **Services quarterly revenue (excl. Apple care and licensing) YoY Change vs. Sensor Tower App store quarterly revenue YoY change (2021-2026)**



Source: Sensor Tower, Bernstein analysis

## 4: FOUNDRY & MEMORY - OVERALL POSITIVE AND SOME NEAR-TERM CONSIDERATIONS

### FOUNDRY

Exhibit 14 summarizes how monthly iPhone sales volume changed over years, and more importantly for TSMC how this volume changed for the process nodes used by iPhones. The "M" on the x-axis denotes the month when a main node first entered the market. Enhancements over the main node (e.g. N5P in 2021 & N4 in 2022 over N5 in 2020) are also distinguished by their respective launch years, so that investors can get an idea how the momentum in each year differed from in prior years. Generally, sales volume experienced a significant surge in the first quarter following the initial delivery, then gradually declined eventually to below 1M units per month over c. 4 years. When a processor node or its variants was used across multiple iPhone generations, sales volume often saw a resurgence later. For instance, the 2022 N5 variant was introduced first with the iPhone

14 Pro & Pro Max in Sept. 2022, and then used again in the iPhone 15 & 15 Plus released in Sept. 2023, and that resulted in a reversal from a declining trend into a rise 12 months after the initial launch (M+12).

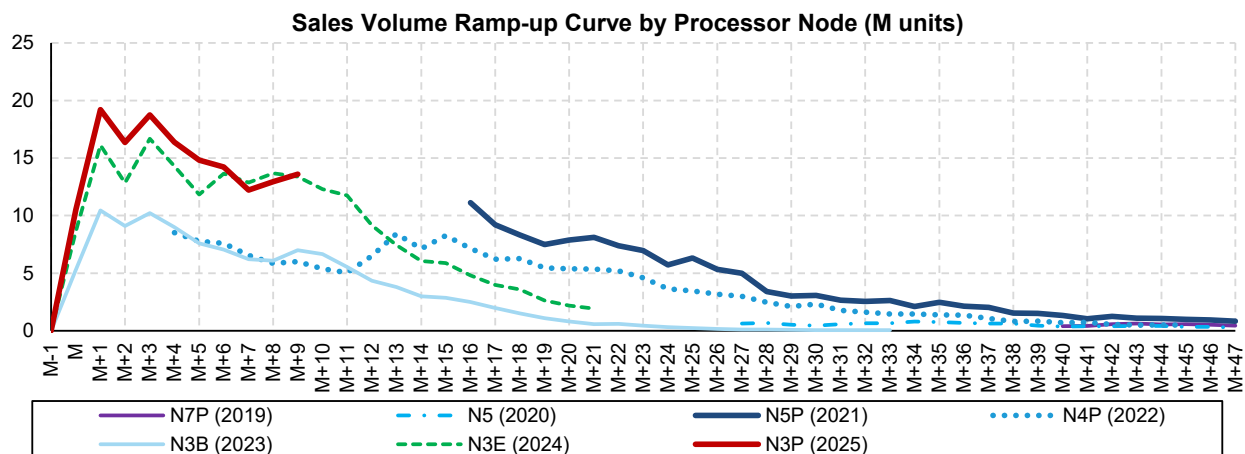
Zooming to iPhone 17, we first find that the new iPhone 17 series & iPhone Air are all built on the same generation of N3 node (reportedly N3P). This is hence most comparable to 2024 when all iPhone 16 models launched in late 2024 were all on the generation (reportedly N3E) prior to N3P. Comparing these two cycles, we find iPhone 17 initially showed a solid ramp, outrunning iPhone 16 in volume at the same stage. However, weaker-than-expected sales of the iPhone 17e versus 16e and lower discounts on iPhone 17 during the “618” vs. iPhone 16 last year weakened the N3P cycle in recent months.

Exhibit 15 presents a similar comparison of iPhone sales trends, but broken down by mobile processor. “M” on the x-axis again denotes the month when each processor was first released & delivered with a or multiple product(s). It also shows that thanks to the robust momentum of iPhone 17, A19 Pro has achieved higher shipment vs. its predecessors. The volume of the low-end version A19 however has been lower than that of its predecessor A18 for a few months. And it is this weaker low-end shipment that made the N3P cycle below the N3E one in the past several months.

Looking into 2H26, iPhone application processors are expected to migrate from the N3 to the N2 node, and packaging technology will transition from InFO (Integrated Fan-Out) to WMCM (Wafer-Level Multi-Chip Module). Both upgrades should drive higher silicon content and value capture for TSMC. While TSMC has flagged lukewarm consumer electronics demand due to elevated memory prices, management still raised its 2026 US\$ revenue growth guidance from “above 30%” to “slightly over 40%” ([link](#)), reflecting a step-up in AI demand that more than offsets the weakness in handsets.

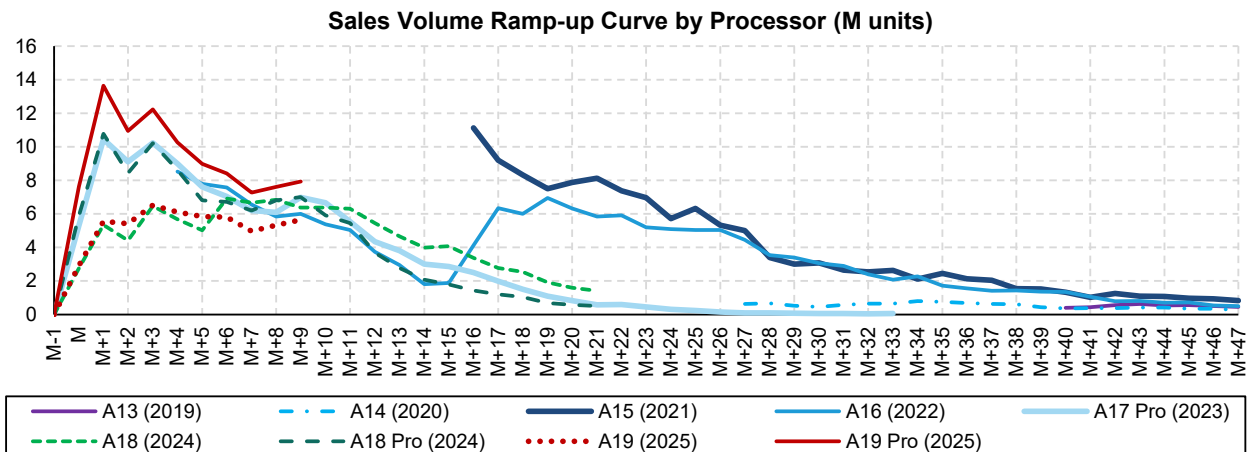
Over the past month, we have observed signs of improving customer traction at both Samsung Foundry and Intel Foundry, largely due to tight supply of TSMC’s leading-edge capacity. We acknowledge TSMC’s supply bottleneck makes customers more interested in Samsung Foundry and Intel, but TSMC is at least one technology generation ahead and also enjoys better track record & larger scale. Even if these reported projects materialize at Samsung & Intel, we do not expect a negative impact on TSMC’s revenue, as demand continues to notably exceed the available leading-edge capacity at TSMC and can fill the capacity released by other customers.

**EXHIBIT 14: Weaker-than-expected sales of the iPhone 17e versus 16e and lower discounts on iPhone 17 during the “618” vs. iPhone 16 last year weakened the N3P cycle in recent months.**



Source: Counterpoint, Bernstein Analysis and Estimates

EXHIBIT 15: **A similar comparison on iPhone mobile processors shows that the weakness mainly came from A19, while A19 Pro for Pro SKUs remained resilient.**



Source: Counterpoint, Bernstein Analysis and Estimates

EXHIBIT 16: **Summary of iPhone processors and their respective technology node**

| Model             | First Delivery Time (YYYY-MM-DD) | Processor | Node |
|-------------------|----------------------------------|-----------|------|
| iPhone 17e        | 2026-03-11                       | A19       | N3P  |
| iPhone 17 Pro Max | 2025-09-19                       | A19 Pro   | N3P  |
| iPhone 17 Pro     | 2025-09-19                       | A19 Pro   | N3P  |
| iPhone Air        | 2025-09-19                       | A19 Pro   | N3P  |
| iPhone 17         | 2025-09-19                       | A19       | N3P  |
| iPhone 16e        | 2025-02-28                       | A18       | N3E  |
| iPhone 16 Pro Max | 2024-09-20                       | A18 Pro   | N3E  |
| iPhone 16 Pro     | 2024-09-20                       | A18 Pro   | N3E  |
| iPhone 16 Plus    | 2024-09-20                       | A18       | N3E  |
| iPhone 16         | 2024-09-20                       | A18       | N3E  |
| iPhone 15 Pro Max | 2023-09-22                       | A17 Pro   | N3B  |
| iPhone 15 Pro     | 2023-09-22                       | A17 Pro   | N3B  |
| iPhone 15 Plus    | 2023-09-22                       | A16       | N4P  |
| iPhone 15         | 2023-09-22                       | A16       | N4P  |
| iPhone 14 Pro Max | 2022-09-16                       | A16       | N4P  |
| iPhone 14 Pro     | 2022-09-16                       | A16       | N4P  |
| iPhone 14 Plus    | 2022-10-07                       | A15       | N5P  |
| iPhone 14         | 2022-09-16                       | A15       | N5P  |
| iPhone SE 2022    | 2022-03-18                       | A15       | N5P  |
| iPhone 13 Pro Max | 2021-09-24                       | A15       | N5P  |
| iPhone 13 Pro     | 2021-09-24                       | A15       | N5P  |
| iPhone 13         | 2021-09-24                       | A15       | N5P  |
| iPhone 13 Mini    | 2021-09-24                       | A15       | N5P  |
| iPhone 12 Pro Max | 2020-11-13                       | A14       | N5   |
| iPhone 12 Pro     | 2020-10-23                       | A14       | N5   |
| iPhone 12         | 2020-10-23                       | A14       | N5   |
| iPhone 12 Mini    | 2020-11-13                       | A14       | N5   |
| iPhone SE 2020    | 2020-04-24                       | A13       | N7P  |
| iPhone 11 Pro Max | 2019-09-20                       | A13       | N7P  |
| iPhone 11 Pro     | 2019-09-20                       | A13       | N7P  |
| iPhone 11         | 2019-09-20                       | A13       | N7P  |

Source: Company websites, Bernstein analysis

## MEMORY

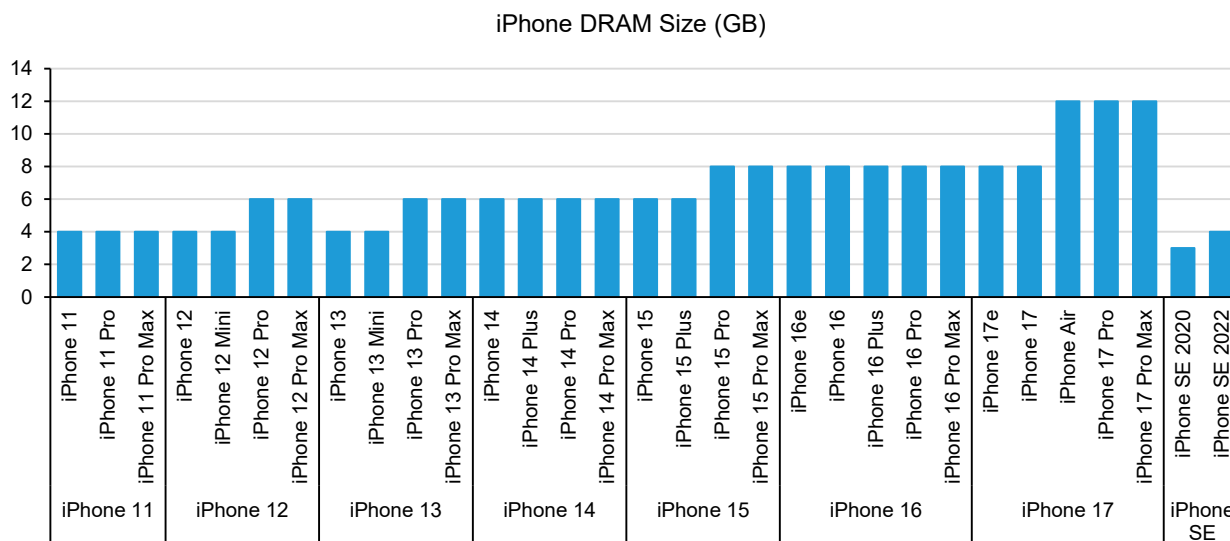
[Exhibit 17](#) summarizes the DRAM size of all iPhone models since iPhone 11, including 8GB of iPhone 17e that Apple launched not long ago. Likely with the need to support on-device AI, Apple appears to be adding DRAM content at an accelerating pace and we will monitor closely if this trend will be affected the recent memory price increase. Starting from the launch of iPhone 17 series in September 2025, the portion of iPhones shipped with 12GB DRAM increased quickly to nearly 50% of the total iPhone shipment ([Exhibit 18](#)), driving the full-year average content in 2025 to rise 20% YoY to 8.4GB. On monthly basis, the average content per iPhone rose above 9GB starting late 2025 too.

Coming to June this year, the mix of 12GB models increased a bit further to 44% of the overall iPhone shipment, while still remaining a bit lower than levels prior to Feb, due to the inclusion of iPhone 17e in the mix starting Mar. Models with 8GB + DRAM also rose slightly to 96% of the total shipment. The average DRAM content was at 9.7GB, up slightly vs 9.6GB in May and YoY growth stayed at 27% ([Exhibit 19](#)). Average DRAM content in 2026 YTD was 9.6GB, also up 27% YoY. However starting from Sep this year, the high base from Sep 2025 may make the YoY growth rate moderate. Beyond that, we also wonder whether the high memory price will affect memory content increase.

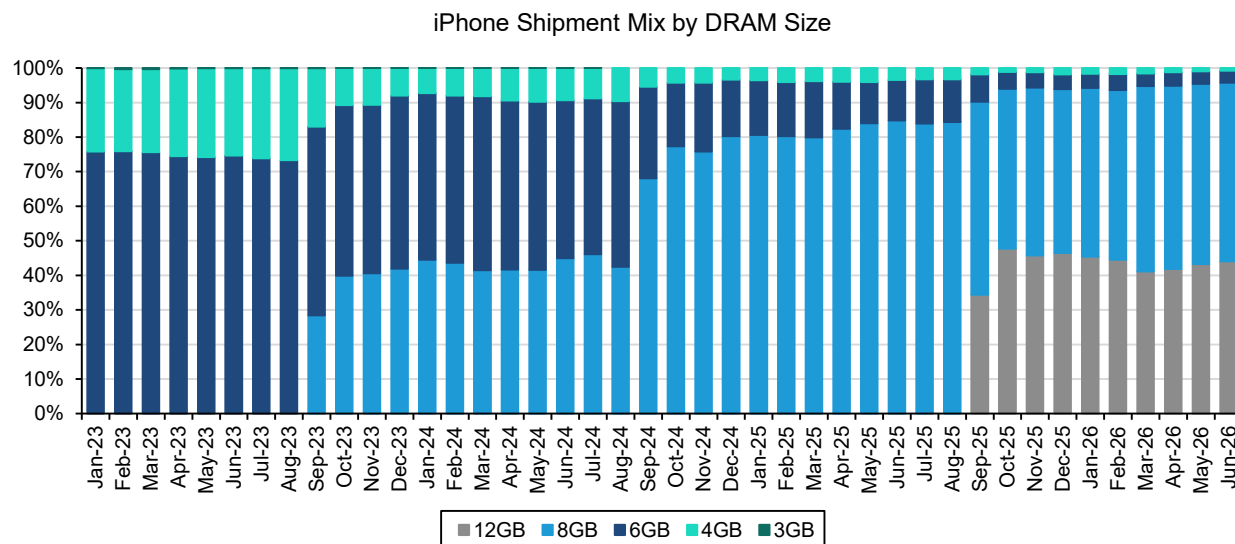
We estimate 2025 overall smartphone content growth was close to 10% (see our DRAM industry model [here](#)). As iPhone contributed to around 15% of all smartphone DRAM demand (thus ~5% of the entire DRAM demand), it implies non-iPhone smartphones had a slower content increase at a bit under 8% in 2025. For 2026 our current projection has ~8% DRAM content growth for all smartphones, still slower than 2025, despite higher mix from premium segment as mid to low-end unit volume is expected to shrink due to memory shortage and price hike. As discussed above iPhone year-to-date has achieved more content growth YoY, but we will monitor if this better growth will be affected by the memory price surge.

What's perhaps more relevant now is how smartphone demand may be impacted due to price increase as a result of memory cost increase. YTD, iPhone shipment YoY growth remained very robust with Jan-Jun up 8% YoY. We believe the memory cost to put a pressure on many smartphone OEMs but iPhone should be more resilient, in light of its high profitability to absorb cost increases.

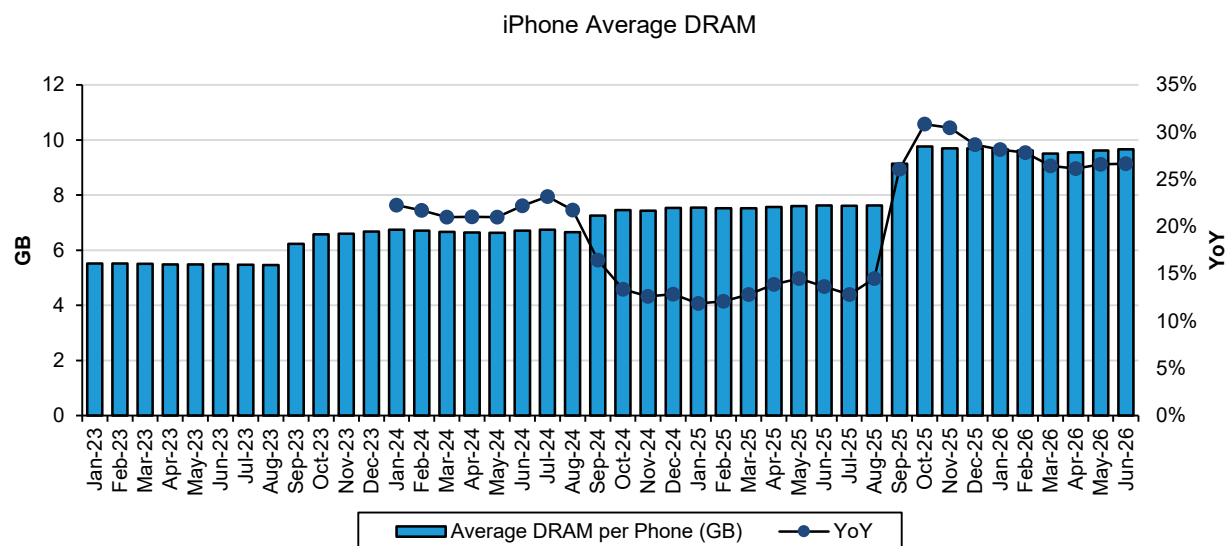
**EXHIBIT 17: Most of iPhone 17 models feature 12GB DRAM vs. 8GB for iPhone 16 series, likely to better support on-device AI.**



Source: iFixit, GSMArena and Bernstein analysis

**EXHIBIT 18: iPhone models with 12GB DRAM improved slightly MoM to 44% of the overall shipment.**

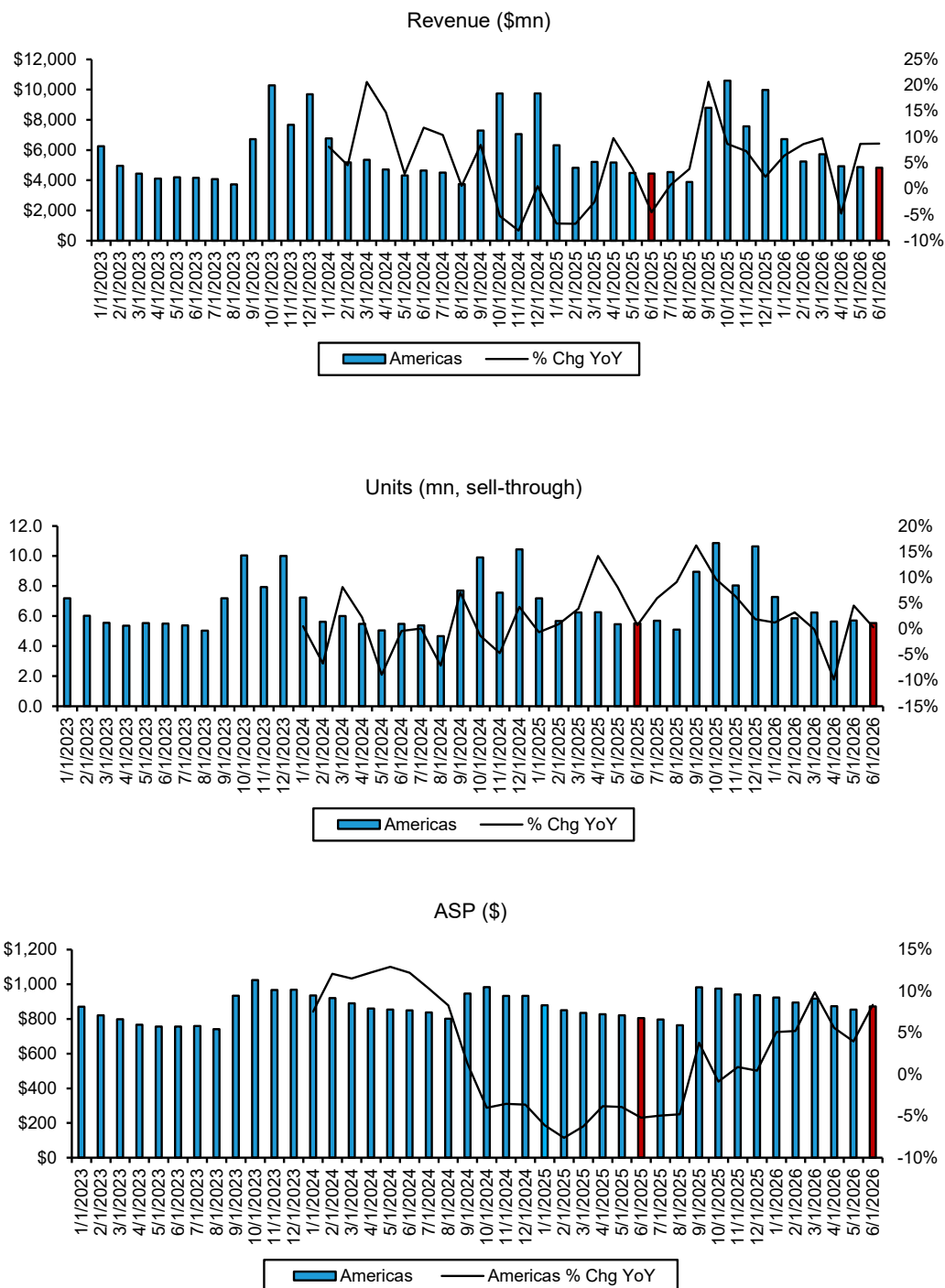
Source: Counterpoint, iFixit and Bernstein analysis

**EXHIBIT 19: The average DRAM content per phone improved slightly MoM to 9.7GB in Jun, still up meaningfully YoY by 27%.**

Source: Counterpoint, iFixit and Bernstein analysis

## 6. IPHONE DEMAND BY REGION

EXHIBIT 20: Americas iPhone total revenue, units and ASP



Source: Counterpoint, Bernstein Analysis

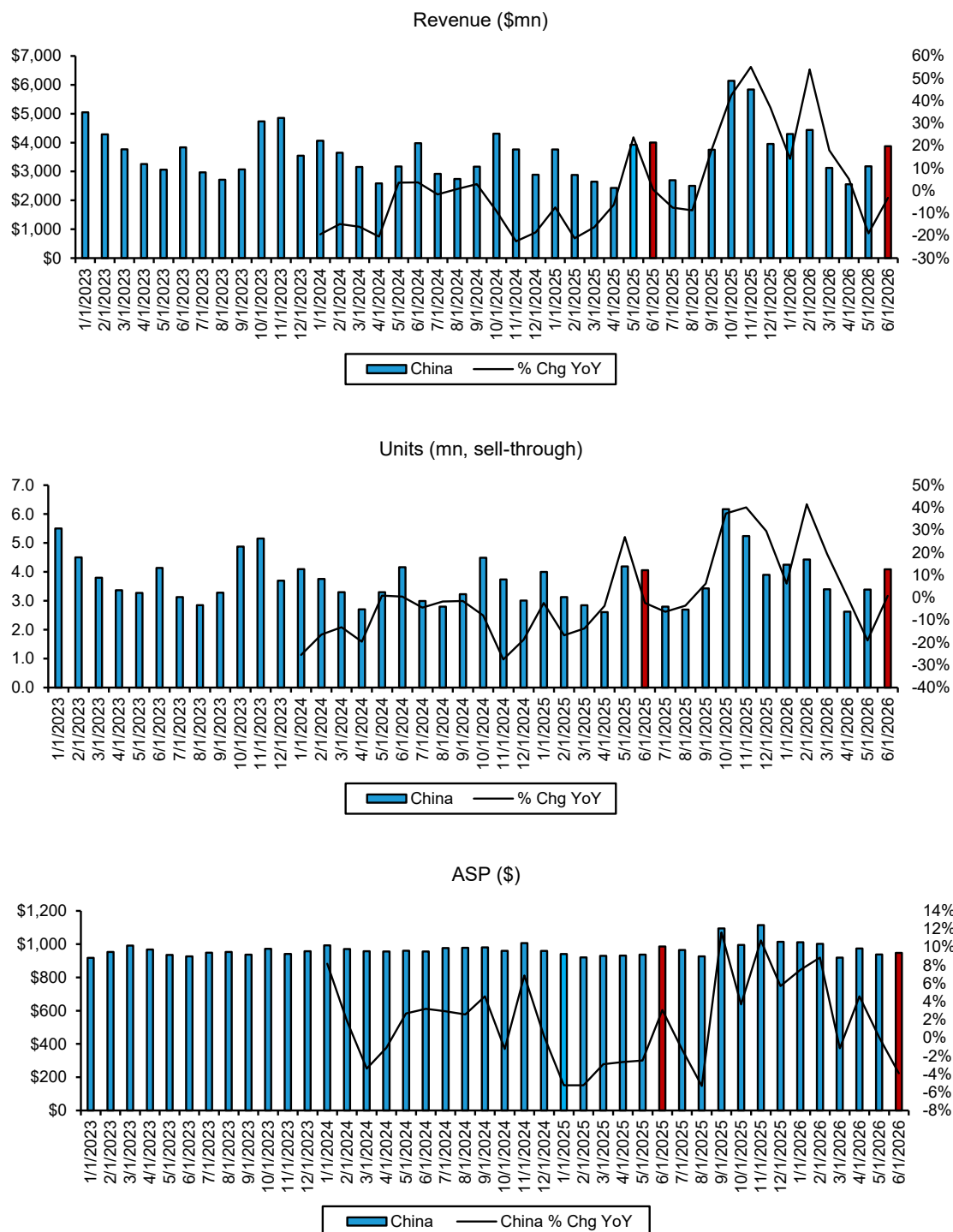


## EXHIBIT 21: Europe iPhone revenue, units and ASP



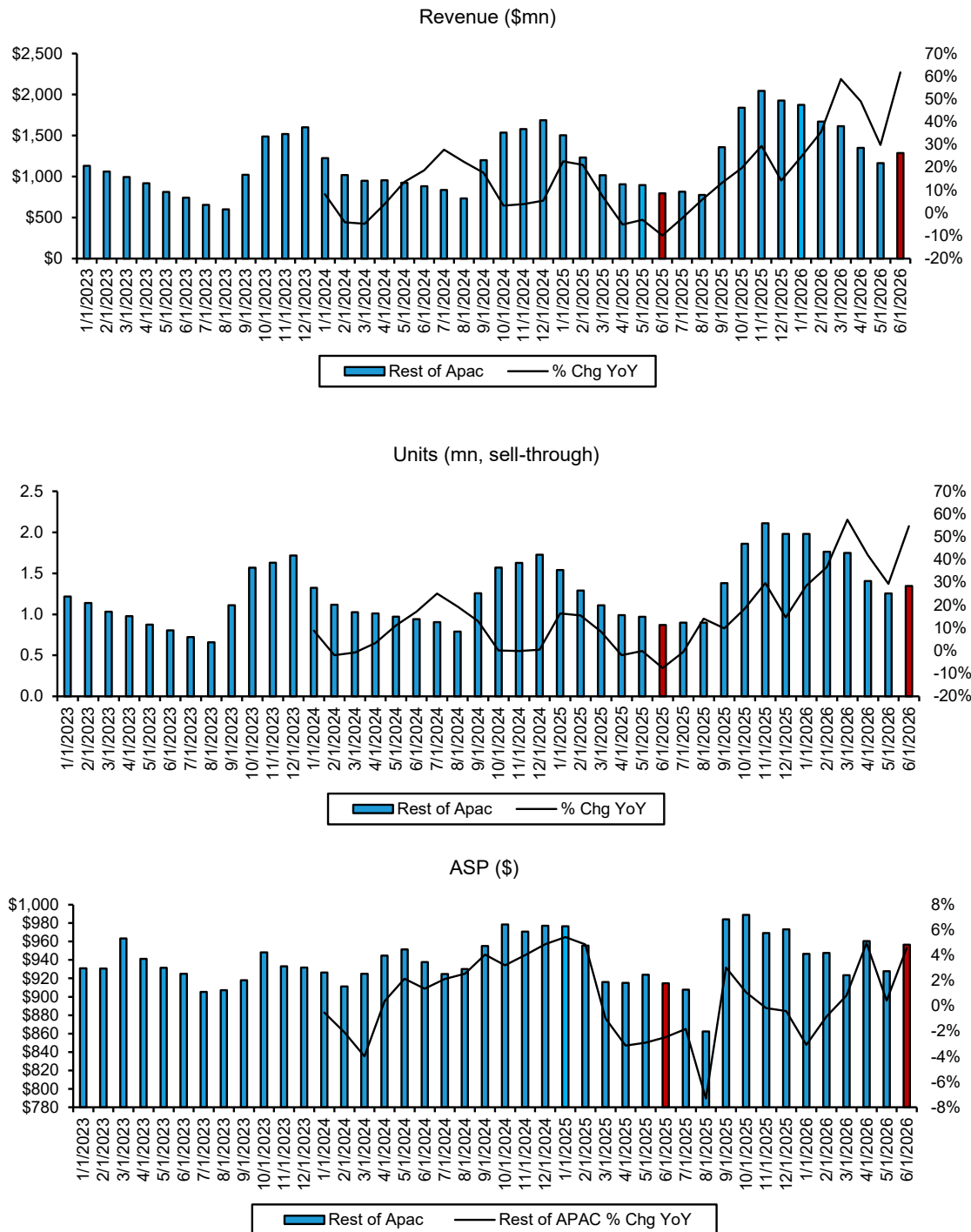
Source: Counterpoint, Bernstein Analysis

EXHIBIT 22: China iPhone revenue, units and ASP



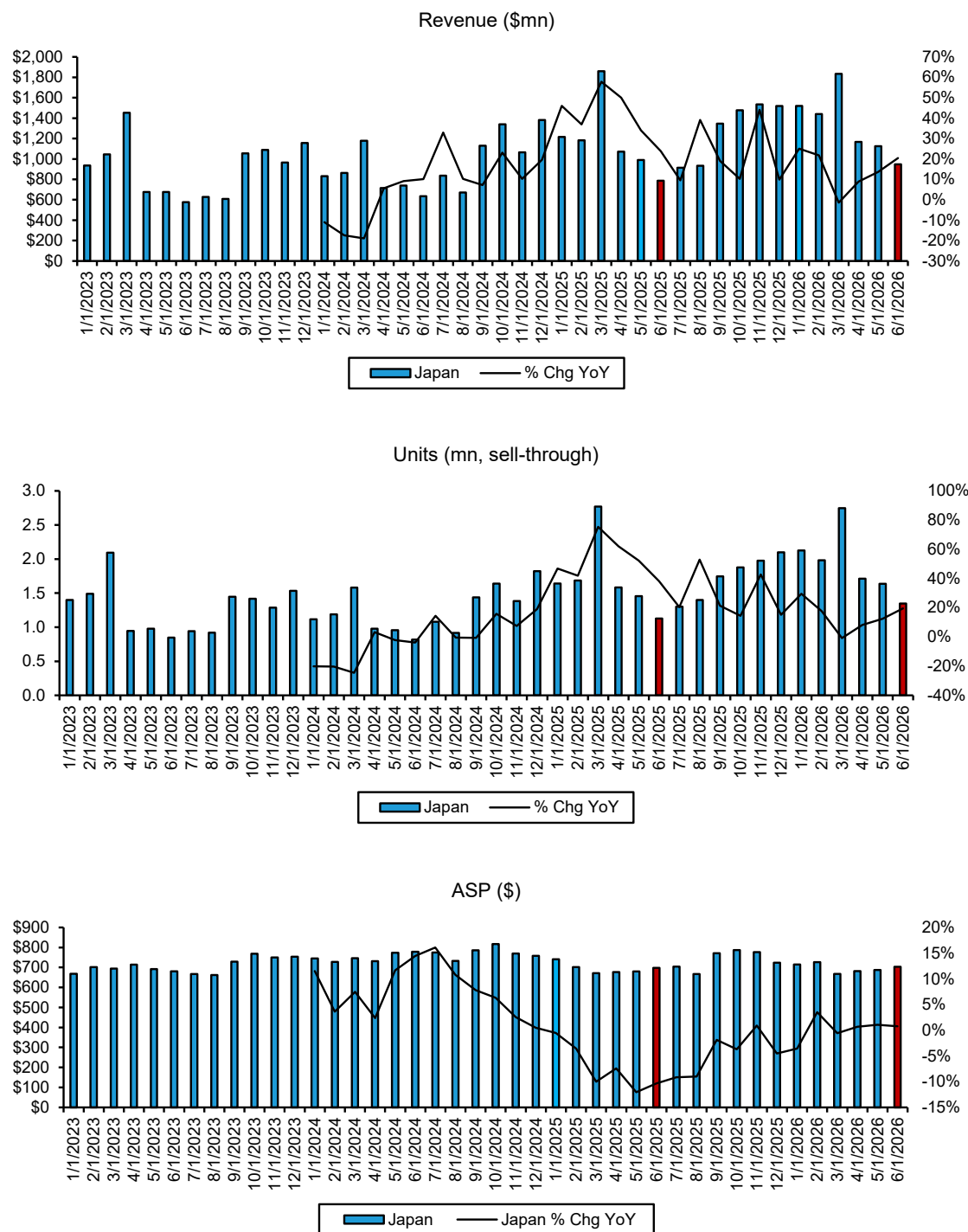
Source: Counterpoint, Bernstein Analysis

EXHIBIT 23: Rest of Apac iPhone revenue, units, ASP



Source: Counterpoint, Bernstein Analysis

## EXHIBIT 24: Japan iPhone revenue, units, ASP



Source: Counterpoint, Bernstein Analysis

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